

Ensign Group Inc (NASDAQ: ENSG)

Healthcare Services / Skilled Nursing
United States

Stock Price Graph (5Yr)



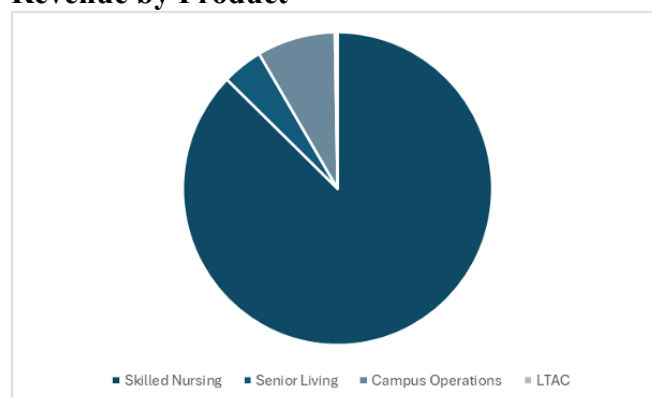
Company Overview

Ensign Group Inc. (NASDAQ: ENSG) is a leading provider of skilled nursing, senior living, rehabilitative care, and related healthcare services in the United States. Founded in 1999 and headquartered in San Juan Capistrano, California, the company operates a broad network of post-acute care facilities that provide skilled nursing, therapy, assisted living, memory care, and other services for patients transitioning from hospitals or requiring longer-term care.

Ensign operates through two primary segments: Skilled Services and Standard Bearer. The Skilled Services segment includes the company's core nursing, rehabilitation, and senior living operations, while Standard Bearer focuses on healthcare real estate ownership and leasing. This structure allows Ensign to combine an asset-light operating model with selective real estate ownership, giving the company flexibility in capital allocation and expansion. Ensign supports this platform with a decentralized operating model in which local leaders manage day-to-day

operations and respond directly to the needs of their individual communities and referral partners.

Revenue by Product



Ensign holds a differentiated position within the post-acute care industry as an operator focused on skilled nursing facilities, rehabilitation, and transitional care rather than higher-end senior housing or purely inpatient rehabilitation. The industry remains highly fragmented, with a large portion of facilities still operated by small, independent owners, creating a significant opportunity for continued consolidation. Ensign has used this fragmentation to its advantage through a disciplined acquisition strategy and a strong track record of operational improvement following acquisitions.

The company has completed more than 100 acquisitions in recent years while continuing to improve occupancy, skilled mix, and margins across its existing facilities. Standard Bearer also provides an added layer of strategic flexibility by allowing Ensign to own, lease, and finance healthcare real estate in ways that can support both

operational growth and long-term value creation. With favorable demographic tailwinds, non-discretionary demand for post-acute care, and a proven model for integrating and improving acquired facilities, Ensign is well positioned to benefit from rising demand across skilled nursing and senior care over the long term.

Investment Thesis

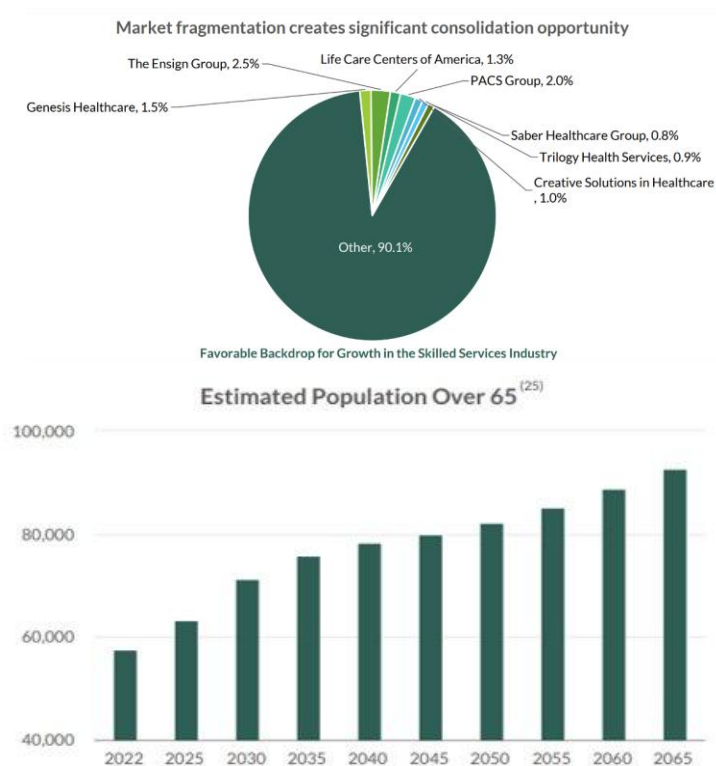
We rate Ensign a **Buy with a 5Y Target Price of \$402.11** per share driven by the following thesis points:

1) Strong Growth Driven by Favorable Industry Trends

Ensign benefits from strong tailwinds in post-acute care, supported by favorable demographics, rising chronic disease prevalence, and growing demand for skilled nursing and rehabilitation services. The company is positioned well within this environment because its core business is directly tied to essential care needs rather than discretionary healthcare spending, making demand more durable across economic cycles. As the 65+ and especially 80+ populations continue to expand, the addressable market for skilled nursing facilities should grow meaningfully over time, particularly as more patients require medium-length rehabilitation stays, chronic care support, and recovery services following hospital discharge.

This demand is supported by the structure of post-acute reimbursement, where skilled nursing continues to receive a large share of

Medicare post-acute spending. Ensign's focus on skilled nursing and transitional care aligns well with these trends, allowing the company to benefit not only from rising admissions, but also from a growing need for efficient, high-quality care in a fragmented industry that remains essential to the broader healthcare system.



2) Recession Proof with High Growth Potential

Ensign offers a rare combination of defensive characteristics and attractive long-term growth potential. Demand for skilled nursing and post-acute care is largely non-discretionary, since patients typically require these services following hospitalization, surgery, or the progression of chronic health conditions rather than as a matter of

consumer choice. That makes Ensign's core business less sensitive to economic slowdowns than many other areas of healthcare.

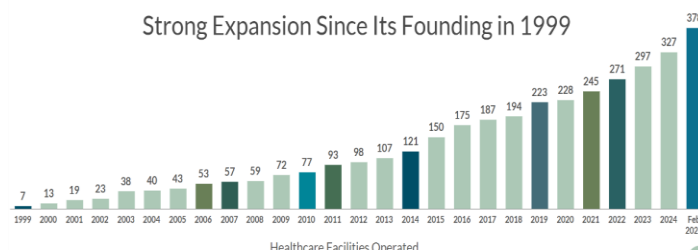
The company also has room to grow within its existing footprint, with occupancy still leaving meaningful capacity for additional admissions and stronger margin realization over time. This gives Ensign a path to organic growth even without relying entirely on new acquisitions. Historically, the business has also shown resilience during weaker economic periods, supported by essential service demand and a reimbursement structure tied more closely to patient need than to consumer sentiment. In our view, this creates an attractive setup where downside is supported by defensive demand while upside remains driven by utilization gains, operational improvement, and continued industry consolidation.

3) Proven Acquisition Strategy and Operational Execution

Ensign's acquisition strategy is one of the clearest drivers of its long-term growth. The post-acute care industry remains highly fragmented, giving the company a large pipeline of potential targets, and Ensign has demonstrated an ability to acquire facilities at scale without sacrificing operational discipline. Rather than relying on heavy capital investment to create value, the company typically acquires facilities that already have the necessary infrastructure in place and improves performance through

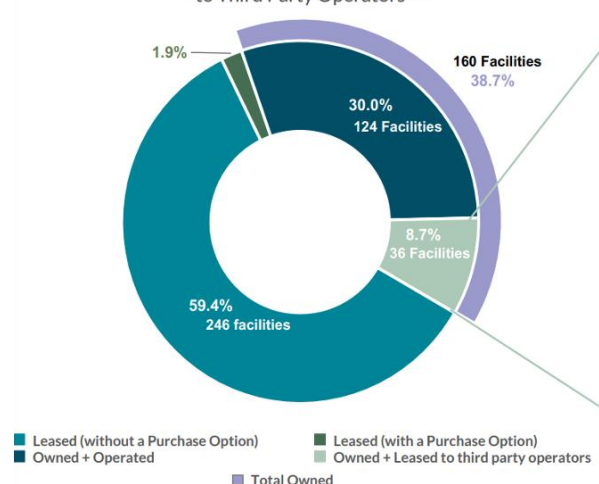
stronger leadership, better clinical execution, and deeper hospital referral relationships.

Strong Expansion Since Its Founding in 1999



Its decentralized operating model is critical to this strategy, as local leaders are empowered to run facilities based on the needs of their specific markets while still benefiting from Ensign's broader platform and experience. This approach has allowed the company to improve occupancy, patient mix, and margins within a relatively short period after acquisition, supporting a track record of profitable growth that appears both repeatable and scalable.

Real Estate Distribution on Ensign operated facilities of 378 and 36 Owned Real Estate Leased to Third Party Operators ⁽¹²⁾



Competitive Positioning

Market: Ensign is one of the strongest operators in the post-acute care space, supported by its scale and consistent execution. It has the largest market cap among its peers, which reflects both its growth track record and investor confidence.

A key differentiator is its hybrid model. Through its Standard Bearer segment, Ensign Group, Inc. owns some of its real estate while still operating an asset-light business. This gives the company more flexibility, better control over key locations, and adds upside from real estate value, which most competitors do not have.

Ensign also runs with a relatively conservative balance sheet. Lower leverage reduces risk and gives the company room to keep acquiring facilities in a highly fragmented industry.

On profitability, Ensign generates strong and consistent margins compared to most skilled nursing operators. While some peers in higher-acuity segments have slightly higher margins, Ensign stands out within its core space due to its operational discipline and decentralized model. Overall, this combination of scale, financial strength, and execution makes it one of the most well-positioned companies in the industry.

Management: One of Ensign's biggest strengths is its management team and overall culture. As a class, we had the opportunity to speak directly with CEO Barry Port and CIO Chad Keetch, which gave us a much better understanding of how the company actually operates. Both have been with Ensign for a long time and have helped grow it into a roughly \$12 billion market cap business, which gives a lot of confidence in their leadership and long-term strategy.

When we spoke with them, we asked about what the market might be missing in terms of future growth, the outlook for Standard Bearer, and what really sets Ensign apart from competitors like PACS. One thing they kept coming back to was that everything starts with patient care. Their focus is on running high-quality facilities and doing right by patients, and they believe the financial results follow from that.

They also talked a lot about Standard Bearer and the company's balance sheet. Because of their strong reputation and track record, they're often able to win acquisition deals even when their bids aren't the highest. Sellers trust Ensign to run facilities well, which gives them an edge. Owning real estate also helps, since it allows them to go after larger portfolio deals that some competitors can't.

When discussing competitors, they described Ensign as more disciplined and less aggressive. They focus on staying compliant and not pushing boundaries, which stands out compared to some operators that have run into regulatory issues.

Overall, both leaders came across as very humble but also confident in where the company is headed. Their focus on patients, combined with a disciplined approach to growth, makes it clear why Ensign has been able to execute so consistently.

Moat: Ensign's competitive advantage comes from its operating model, capital flexibility, and experience in a complex industry.

First, its decentralized structure allows each facility to respond to local needs and build strong relationships with nearby hospitals. In skilled nursing, referrals drive occupancy, and Ensign's focus on local leadership helps create steady referral pipelines that are hard to replicate.

Second, the company has a proven acquisition strategy in a highly fragmented market. Its track record of improving underperforming facilities has built a strong reputation, which helps it consistently win deals and continue growing.

Third, Ensign's mix of operations and real estate ownership through Standard Bearer gives it more flexibility than most competitors. Management noted that the company has built up significant cash, making capital allocation a key focus going forward. This allows Ensign to keep

investing in growth without relying heavily on outside financing.

Finally, Ensign operates in a highly regulated industry and has shown it can stay compliant while still growing. This creates a barrier to entry and sets it apart from competitors that have taken more aggressive approaches and faced regulatory issues.

Margin of Safety: Ensign's margin of safety is supported by the stability of its underlying business and consistent demand for its services. Skilled nursing and post-acute care are largely non-discretionary, as patients require care following hospital stays or due to chronic conditions. This creates a steady demand base that is less sensitive to economic cycles. In addition, Ensign has a strong track record of improving facility performance, which allows it to drive growth through higher occupancy and better operations even without relying entirely on acquisitions.

The company's balance sheet provides another layer of protection. Ensign Group, Inc. operates with relatively low leverage and has built up significant cash, giving it flexibility to navigate downturns and continue investing in growth opportunities. Its exposure to real estate through Standard Bearer also provides underlying asset value and more stable long-term cost control. Together, these factors help limit downside risk while still supporting long-term upside.

Risks

Reimbursement: One of the primary risks for Ensign Group, Inc. is its exposure to Medicare and Medicaid reimbursement. Because a large portion of revenue is tied to government programs, changes in

reimbursement rates or policies could directly impact margins. While Ensign has historically operated efficiently within this system, any meaningful reduction in reimbursement would put pressure on profitability. At the same time, Medicare spending allocated to skilled nursing facilities is expected to increase as the healthcare system continues shifting patients from hospitals to lower-cost post-acute settings, which supports long-term demand.

Labor Risk: Labor availability remains a key operational risk. Skilled nursing is highly labor-intensive, and ongoing nursing shortages can limit Ensign Group, Inc.'s ability to fully capture demand. Even if occupancy opportunities exist, a lack of staffing can prevent facilities from operating at full capacity and may lead to higher labor costs.

Staffing shortages can also impact quality of care and lead to lower ratings under the CMS Five-Star Quality Rating System, which can affect a facility's reputation and its ability to attract patients and referrals. This creates both operational and financial pressure if not managed effectively.

High Price Tag: Valuation is an important risk to consider. Ensign is currently trading at around 35x P/E, which is above its 5-year average of roughly 27x and higher than many of its peers. This premium reflects the company's strong execution and consistent growth.

At the same time, it leaves less room for error. If growth slows, margins come under pressure, or sentiment shifts, the stock could see multiple compression even if the business is still performing well.

Valuation

We applied 3 different methods to derive a 5-year target price of \$402.11 for Ensign. These methods include DCF (33%), TEV/EBIDTA (33%), and PE (33%).

For the DCF method, we used a WACC of 7.00%, and a perpetuity growth rate of 4%. We also included our own differentiated revenue model which showed growth of 18%, 10% and 11% over the next 3 years. We did not include a differentiated model for the CAPEX or the margins. However, within our revenue model we did include improving margins which contributed to revenue growth.

Revenue Model: For our revenue model we created a differentiated view based on two main aspects. We believe in an increased growth rate for occupancy usage. A recovery that would put at pre COVID levels. Additionally, we see a stronger growth in the number of older person population needing to utilize nursing homes. These are both illustrated in our model below.

	Current Beds	Usage Rate	Current Beds in Use	Rate
2028	52,245	84.00%	42,920	0.0'
2027	49,757	83.50%	40,425	0.0'
2026	47,388	83.00%	38,252	0.0'
2025	45,131	82.20%	36,285	0.0'
2024	42,122	80.50%	33,066	0.0'

Enterprise Value	\$	19,449.33
Net Debt:	\$	1,633.40
Equity Value	\$	17,815.94
# Shares		58.09
Target Price (1Y)	\$	306.72
Target Price (5Y)	\$	402.11
Current Price:	\$	208.18
Upside (5Y)		93%
CAGR (5Y)		14%

Management Profile

Barry Port – Chief Executive Officer & Chairman

Barry Port has served as CEO since 2019 and became Chairman of the Board in 2025. He has been with Ensign Group, Inc. for over two decades and has held several leadership roles across the organization. His background in operations and long tenure with the company have been key to Ensign's consistent execution, decentralized culture, and successful expansion strategy.

Chad Keetch – Chief Investment Officer, EVP & Secretary

Chad Keetch has served as Chief Investment Officer since 2019 and is responsible for Ensign's acquisition strategy, capital allocation, and real estate platform, including Standard Bearer. He has played a major role in scaling the company's footprint and has extensive experience in healthcare transactions, financing, and strategic growth initiatives.

Suzanne Snapper – Chief Financial Officer & EVP

Suzanne Snapper oversees Ensign's financial operations, including accounting, reporting, and capital management. She has been with the company for many years and brings deep experience in financial oversight within healthcare services. Her leadership supports disciplined capital allocation and financial stability as the company continues to grow.

Spencer Burton – President & Chief Operating Officer

Spencer Burton leads Ensign's day-to-day operations and supports performance across its network of facilities. With nearly two decades at the company, he has extensive experience in skilled nursing operations and plays a key role in maintaining Ensign's decentralized model and strong operational execution.

Management Team and Corporate Culture



CEO Barry Port
Chair of Board
of Directors



CIO Chad Keetch



CFO Suzanne Snapper



COO Spencer Burton

Key Financials

THE ENSIGN GROUP, INC.
CONSOLIDATED STATEMENTS OF INCOME

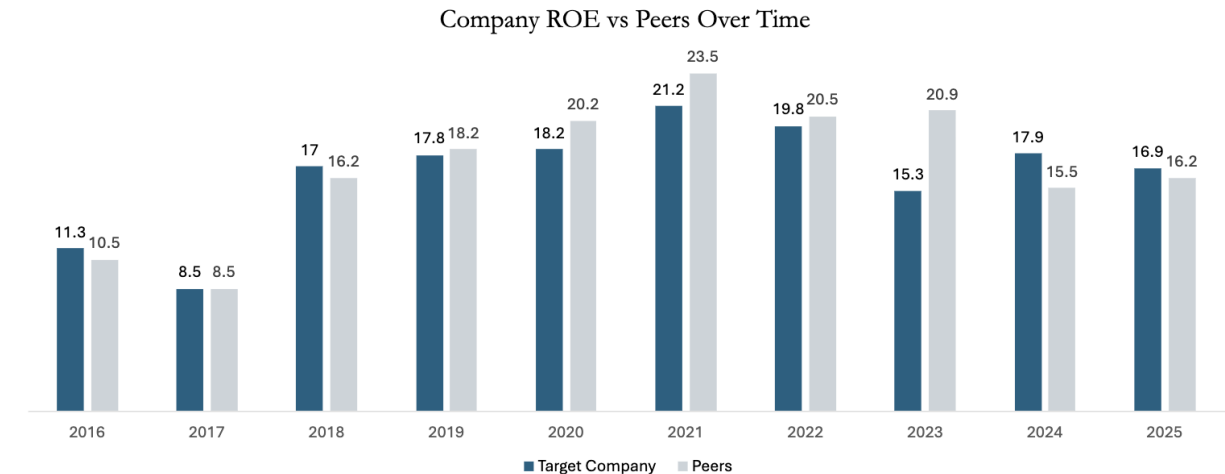
	Year Ended December 31,		
	2025	2024	2023
	<i>(In thousands, except per share data)</i>		
REVENUE			
Service revenue	\$ 5,032,118	\$ 4,237,525	\$ 3,708,071
Rental revenue	25,723	22,960	21,284
TOTAL REVENUE	\$ 5,057,841	\$ 4,260,485	\$ 3,729,355
Expense:			
Cost of services	4,019,076	3,376,884	2,941,238
Rent—cost of services	239,312	216,016	197,358
General and administrative expense	269,820	225,143	263,005
Depreciation and amortization	104,327	84,138	72,387
TOTAL EXPENSES	\$ 4,632,535	\$ 3,902,181	\$ 3,473,988
Income from operations	425,306	358,304	255,367
Other income (expense):			
Interest expense	(7,988)	(8,286)	(8,087)
Interest income	24,512	28,749	19,216
Other income	13,792	7,327	6,266
OTHER INCOME, NET	\$ 30,316	\$ 27,790	\$ 17,395
Income before provision for income taxes	455,622	386,094	272,762
Provision for income taxes	111,358	87,636	62,912
NET INCOME	\$ 344,264	\$ 298,458	\$ 209,850
Less:			
Net income attributable to noncontrolling interests	293	485	451
NET INCOME ATTRIBUTABLE TO THE ENSIGN GROUP, INC.	\$ 343,971	\$ 297,973	\$ 209,399
NET INCOME PER SHARE ATTRIBUTABLE TO THE ENSIGN GROUP INC.			
Basic	\$ 6.00	\$ 5.26	\$ 3.76
Diluted	\$ 5.84	\$ 5.12	\$ 3.65
WEIGHTED AVERAGE COMMON SHARES OUTSTANDING			
Basic	57,306	56,655	55,708
Diluted	58,873	58,240	57,323

See accompanying notes to consolidated financial statements.

THE ENSIGN GROUP, INC.
CONSOLIDATED STATEMENTS OF CASH FLOWS

(In thousands)	Year Ended December 31,		
	2025	2024	2023
Cash flows from operating activities:			
Net income	\$ 344,264	\$ 298,458	\$ 209,850
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation and amortization	104,327	84,138	72,387
Amortization of deferred financing fees	1,057	1,061	1,067
Deferred income taxes	(16,857)	635	(27,481)
Stock-based compensation	48,299	36,226	30,767
Insurance proceeds and (gain) loss on long-lived assets, net	885	3,367	723
Other operating activities, net	4,371	2,747	4,278
Change in operating assets and liabilities			
Accounts receivable	(70,433)	(84,397)	(79,818)
Prepaid income taxes	11,179	(9,227)	814
Prepaid expenses and other assets	(16,441)	(19,055)	6,993
Cash surrender value of life insurance policy premiums	(18,356)	(14,833)	(16,072)
Deferred compensation liability	18,487	14,986	16,044
Operating lease obligations	(3,389)	287	(6,564)
Accounts payable	(2,920)	2,835	15,924
Accrued wages and related liabilities	82,812	19,992	47,967
Other accrued liabilities	41,724	(34,048)	70,960
Accrued self-insurance liabilities	35,261	44,014	28,827
NET CASH PROVIDED BY OPERATING ACTIVITIES	\$ 564,270	\$ 347,186	\$ 376,666
Cash flows from investing activities:			
Purchase of property and equipment	(193,557)	(158,240)	(106,180)
Cash payments for acquisitions	(323,258)	(156,547)	(69,014)
Cash proceeds from insurance recoveries and sale of assets	14,226	6,152	2,277
Purchases of investments	(110,723)	(105,149)	(29,603)
Maturities of investments	99,670	26,397	18,852
Other investing activities, net	465	(2,665)	970
NET CASH USED IN INVESTING ACTIVITIES	\$ (513,177)	\$ (390,052)	\$ (182,698)
Cash flows from financing activities:			
Proceeds from debt (Note 13)	—	400	150
Payments on debt	(4,086)	(4,350)	(4,033)
Issuance of common stock upon exercise of options	29,044	22,286	18,369
Repurchase of shares of common stock to satisfy tax withholding obligations	(1,434)	(1,209)	(1,929)
Repurchase of shares of common stock (Note 19)	(20,000)	—	—
Dividends paid	(14,410)	(13,671)	(12,890)
Other financing activities	(924)	(5,618)	(279)
NET CASH USED IN FINANCING ACTIVITIES	\$ (11,810)	\$ (2,162)	\$ (612)
Net increase (decrease) in cash and cash equivalents	39,283	(45,028)	193,356
Cash and cash equivalents beginning of period	464,598	509,626	316,270
Cash and cash equivalents end of period	\$ 503,881	\$ 464,598	\$ 509,626
Retained earnings	1,756,137		1,426,762
Common stock in treasury, at cost, 3,567 and 3,400 shares at December 31, 2025 and 2024, respectively	(139,198)		(117,764)
Total Ensign Group, Inc. stockholders' equity	\$ 2,231,725	\$ 1,837,111	
Non-controlling interest	3,099		3,317
Total equity	\$ 2,234,824	\$ 1,840,428	
TOTAL LIABILITIES AND EQUITY	\$ 5,462,970	\$ 4,669,356	

Competitor Data



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1) Earnings History | ERN »

Next Announcement

Prior Announcement

Avg/Implied 1 Day Move

(E) 04/29/26

02/04/26

5.27% / 4.94%

2) Consensus Overview | EEO »

Trailing 12M P/E

Forward 12M P/E

Est. LTG (EPS)

35.29

27.95

N.A.

3) Analyst Coverage | ANR »

Buy/Hold/Sell

Current Price

Target Price

4/1/0

209.97

220.40

4) Company Financials | MODL »

21) Current Period Overview (Q1/26)

22) Prior Period Analysis (Q4/25)

Measure	Q1/26 Est	4Wk Chg	YoY Gr	Growth vs Peers	Past Surprise
11) EPS, Adj+	1.818	1.11%			Beat 8 of 8
12) EPS, GAAP	1.687	1.81%			Missed 5 of 8
13) Revenue	1.395B	0.66%			Beat 7 of 8
14) Net Income, Adj+	108.167M	1.09%			Beat 8 of 8
15) Operating Profit	138.500M	0.00%	---	---	--
10) EBITDA	167.833M	1.10%			Beat 7 of 8

5) Earnings Trends | EM »

■ Q1s Only

6) Earnings Estimates Graph | EEG »